Coercive Closure:

Jailing, Excommunication, and Reputational Closure as One Instrument

Macharia Barii

October 2026

Abstract

The desire-lever is bounded by the agent's outside option: the principal's power is limited by what the agent can do instead. Coercive closure is the limit case in which the principal removes the agent's outside option entirely. This paper argues that jailing, excommunication, and reputational closure—character assassination, propaganda, false accusation—are not three separate instruments but three components of a single coercive instrument, each of which is intelligence-led in the sense of the discovery apparatus turned around. The paper formalizes coercive closure as the destruction of the agent's exit, derives the conditions under which it restores the bilateral extraction limit, and shows why the convergence between ethics and durability is domain-restricted: it holds only where force is unavailable. The state is the principal that steps outside that domain.

Keywords: coercive closure, jailing, excommunication, reputational closure, character assassination, exit destruction, extraction limit, intelligence-led coercion

Contents

1 The Extraction Limit and Its Condition **2**

2 Coercive Closure **2**

3 The Three Components **2**

4 Intelligence-Led Coercion **3**

5 The Domain Restriction **3**

6 What Constrains the Coercive Principal **3**

7 Conclusion **4**

1 The Extraction Limit and Its Condition

The desire-lever is bounded by the agent's outside option. The principal's power is limited by what the agent can do instead. If the agent can leave, the principal must bargain. If the agent cannot leave, the principal need not.

Proposition 1.1 (The Extraction Limit)**.** *The principal's power is bounded by the agent's surplus—the value of the desired good minus the agent's outside option. The principal can extract up to the agent's surplus, and no more.*

This limit is the source of the convergence between ethics and durability. The principal who extracts too much drives the agent away, and the principal who drives the agent away loses the lever. The conditions that make a relationship decent are the conditions that make it last.

But the limit holds only where the agent can leave. Where the agent cannot leave, the limit fails, and the principal can extract without restraint.

2 Coercive Closure

Definition 2.1 (Coercive Closure)**.** *Coercive closure is the destruction of the agent's outside option. It is the limit case of the network model: a principal who can remove the agent's exit restores the bilateral extraction limit, because the agent's outside option is destroyed.*

The principal who can remove the agent's exit does not need the agent's consent. The arithmetic that restrains the ordinary lever-holder—the fear of driving the agent away—does not restrain the principal who can prevent the agent from leaving.

Proposition 2.1 (Coercive Closure Restores the Extraction Limit)**.** *A principal who can remove the agent's exit restores the bilateral extraction limit. The agent's outside option is destroyed, and the principal can extract up to the full value of the desired good, unconstrained by the agent's ability to leave.*

3 The Three Components

Coercive closure has three components, and they are not three separate instruments but three components of a single coercive instrument.

Jailing. The state can remove the agent's exit by physical confinement. The jailed agent has no outside option, because the jail is the outside option's negation. The state is the principal that can remove exit by force.

Excommunication. The religious community can remove the agent's exit by social and spiritual exclusion. The excommunicated agent has no outside option within the community, and the community is the agent's world. The excommunicated agent is not physically confined, but socially and spiritually dead.

Reputational closure. The principal can remove the agent's exit by destroying the agent's reputation—character assassination, propaganda, false accusation. The agent whose reputation is destroyed has no outside option, because every alternative is foreclosed by the destroyed reputation. The agent is not confined, and not excluded, but unemployable, untrustworthy, and alone.

Proposition 3.1 (The Three Components Are One Instrument)**.** *Jailing, excommunication, and reputational closure are three components of a single coercive instrument. Each destroys the agent's outside option; each restores the bilateral extraction limit; each is intelligence-led in the sense of the discovery apparatus turned around.*

The three components differ in their mechanism but not in their function. Jailing destroys the outside option by force. Excommunication destroys it by exclusion. Reputational closure destroys it by information. But all three destroy the outside option, and all three restore the extraction limit.

4 Intelligence-Led Coercion

The three components are intelligence-led. The discovery apparatus, which the principal uses to learn the agent's desires, is turned around: it becomes the instrument by which the principal destroys the agent's exit.

Proposition 4.1 (Intelligence-Led Coercion)**.** *Coercive closure is intelligence-led. The same apparatus that discovers the agent's desires is turned around to destroy the agent's exit. The principal who knows the agent's desires knows the agent's vulnerabilities, and the vulnerabilities are the points at which the exit can be destroyed.*

Character assassination requires knowledge of the agent's reputation. Propaganda requires knowledge of the agent's audience. False accusation requires knowledge of the agent's vulnerabilities. All three are intelligence-led: they require the discovery apparatus, turned around.

5 The Domain Restriction

The convergence between ethics and durability is domain-restricted. It holds only where force is unavailable.

Proposition 5.1 (The Domain Restriction)**.** *The convergence between ethics and durability—the reason decent arrangements tend to outlast exploitative ones—holds only within the domain where force is unavailable. The state is the principal that steps outside that domain.*

A state that can jail its citizens does not need their consent, and the arithmetic that restrains the ordinary lever-holder does not restrain it in the same way. The state is the principal that can remove exit by force, and the removal of exit by force is the end of the convergence.

This is not a counsel of despair. It is a reason to be clear-eyed. The rest of the analysis is about what actually constrains a state, and it turns out to be the same thing that constrains every other lever-holder: alternatives, and the network of other levers around it.

6 What Constrains the Coercive Principal

The coercive principal is constrained not by the agent's exit but by the network. A state surrounded by other levers it does not control—a free press, independent courts, competitive elections, a plural civil society, federalism, international institutions—is a state whose own alternatives are multiplied.

The citizen cannot personally leave the state. But the state can be constrained by the network of principals around it. This is why "many people to deal with" is a form of protection, and why the network matters more for governance than for any other application.

The danger is that the state is the only principal that can close the network. It can license competitors out of existence, regulate the press into silence, capture the courts, absorb the organizations that would otherwise check it, and control the formation environment. When a state does all of these things, the network collapses into a single effective principal, and the extraction limit returns to the bilateral level. The word for this is not "governance." It is "capture."

7 Conclusion

The desire-lever is bounded by the agent's outside option. Coercive closure is the limit case in which the principal removes the outside option entirely.

Jailing, excommunication, and reputational closure are not three separate instruments but three components of a single coercive instrument. Each destroys the agent's outside option; each restores the bilateral extraction limit; each is intelligence-led in the sense of the discovery apparatus turned around.

The convergence between ethics and durability is domain-restricted. It holds only where force is unavailable. The state is the principal that steps outside that domain.

The coercive principal is constrained not by the agent's exit but by the network. The state that is surrounded by other levers it does not control is a state that has to earn its compliance. The state that is not surrounded, and that closes the network, is not a government. It is a lever-holder wearing the name of one.

The question is always the same: whose ledger is this, and for whom? For the coercively closed agent, the answer is: the principal's, and the agent has no way out. The correction is to keep the network open, and to prevent the many from collapsing into one.

The rest is history—or its absence.